

The first strategy is simple and straightforward. Hornsby said if you owe less than double your salary and are employed by a for-profit company in the public sector, you should probably refinance. Get the lowest rate possible to reduce the interest. Pay the loans back as quickly as possible. Move forward with your life.

Hornsby emphasized that while refinancing to get a lower interest rate is the best option for many with student loans, you should be sure refinancing is optimal for you *before* making a binding decision. He said, “there’s a lot of companies out there, and that’s how they make their money. So they’re prone to giving refinancing suggestions when maybe that’s not the right path for you. And you have to be careful because once you refinance, all those other options are off the table.”

If you have a greater than two-to-one debt-to-income ratio or if you work for a not-for-profit or government agency, a better option may be going for loan forgiveness. Hornsby broke loan forgiveness programs into two categories: the Public Service Loan Forgiveness (PSLF) program and the standard loan forgiveness program.

The PSLF program is the best option. To qualify, you must have direct federal loans. You also have to work for the government or an eligible not-for-profit organization. If you meet these requirements,